RE-MAKING OF AN INDUSTRY

India's defence manufacturing ecosystem is undergoing a major transformation from import dependence towards self-reliance. Profits are catching up fast and it is no longer just a growth story

BY **RICHA SHARMA**



IN A WORLD shaped by geopolitical volatility and technological disruption, India has significantly expanded defence spending to strengthen military preparedness and indigenous manufacturing. The sector has been steadily transformed through innovation, technological advancement, and strategic reforms. The first phase of India's defence manufacturing was largely about import substitution. The next phase will be about technology ownership and global competitiveness.

The recent *BT*-Deloitte India survey of India's manufacturing companies bears witness to the trend. Aerospace & defence sector companies saw their combined profitability more than triple over five years. The 26 listed companies in the sector reported a total profit of ₹23,111 crore in FY26, up from ₹7,507 crore in FY21, a rise of 208%.

The profitability of several Indian aerospace, defence and allied companies has surged sharply over the past five years, according to ACE Equity data. Zen Technologies recorded the highest growth, with its net profit jumping 7,757% to ₹217.9 crore in FY26, from just ₹2.8 crore in FY21. Jaykay Enterprises saw a 727% increase, while Astra Microwave Products and Solar Industries India posted profit growth of 569% and 503%, respectively. Among larger defence companies, Hindustan Aeronautics (HAL) reported a net profit of ₹9,115.5 crore in FY26, up 181% from FY21, while Bharat Electronics (BEL) saw its profit rise 191% to ₹6,023.5 crore. Mazagon Dock Shipbuilders reported a 434% increase to ₹2,421.9 crore.

THE TRIGGERS

In September, India's Defence Acquisition Council cleared proposals worth ₹1.1 lakh crore, with 98% to be sourced from Indian companies. From FY25 to FY27 so far, these approvals add up to a massive ₹13 lakh crore. Alaric